# WARRANTY ATLAS · Minnesota (MN)

Law last amended: 2023 (eff. 2023-10-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-23

Cites: Minn. Stat. § 80E.041, subds. 1-7 (compensation; labor rate); Minn. Stat. § 80E.041, subd. 8 (claims, audit, chargeback); Minn. Stat. §§ 80E.16 (civil penalty), 80E.17 (civil remedies)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Independent/retail time guide | subd. 4(a) |
| **Mfr-backed service contract** | **Not addressed** | - | subd. 1 |
| **CPO warranty** | **Not addressed** | - | subd. 1 |
| **Independent service contract** | **Not addressed** | - | subd. 1 |

Hourly rate: At the dealer's election, the effective non-warranty labor rate: total customer labor charges on qualifying repairs divided by labor hours, from 100 sequential ROs with warranty-like repairs or 90 consecutive days, whichever is less, no older than 180 days. The manufacturer may disapprove in writing within 30 days, with substantiation against comparable same line-make dealers; otherwise the rate is approved. Internal dispute resolution comes first, then suit under § 80E.17….

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Must be 'specifically disapproved in writing' within 30 days after receipt. No denial or chargeback based solely on a clerical error or technicality that does not question legitimacy. | Minn. Stat. § 80E.041, subd. 8(a), (c) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. Resubmit within 30 days after notice of a denial or chargeback based on an incidental processing failure, clerical error or admin… | |
| **Chargebacks** | 12 months; fraud: Silent. Audit right lasts 'a period of one year'. Chargebacks only for claims 'not reasonably substantiated or fraudulent', and the manufacturer bears the burden of proof. The same audit and chargeback limits apply to other incentive and reimbursement programs. No ch… | Minn. Stat. § 80E.041, subd. 8(a)-(c) |
| **Rate resubmission** | once per year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Engine / transmission assembly, Routine maintenance, Tires, Prep / reconditioning, Accessories. | Minn. Stat. § 80E.041, subd. 4(a); sample subd. 2(a); exclu… |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: Written disapproval with 'a reasonable substantiation that the effective nonwarranty labor rate submission is inaccurate, incomplete, or unreasonable in light of a comparison to the retail rate charged by other similarly situated franchised' same line-make de… Forum: Civil suit under § 80E.17, filed within 60 days after receiving the p…. | Minn. Stat. § 80E.041, subd. 4(b)-(c); subd. 7 |
| **Penalties** | § 80E.17: injunction against further violations, actual damages, and costs and disbursements including reasonable attorney's fees § 80E.16 subd. 1: fine up to $2,000 per violation of § 80E.041, and up to $25,000 for failing to comply with a final judgment or order. Imposed in a civil action brought by the Attorney General. | Minn. Stat. §§ 80E.16, 80E.17 |
| **Audit procedures** | Audit climate score 21/100 (Moderate restrictiveness; chargeback limits 19/75 + process and oversight 2/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 30 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(Minn. Stat. § 80E.041, subd. 8(a), (c)): "Any claims not specifically disapproved in writing within 30 days after the manufacturer receives them are deemed to be approved and payment must follow within 30 days"*
***Chargebacks*** *(Minn. Stat. § 80E.041, subd. 8(a)-(c)): "the manufacturer retains the right to audit the claims for a period of one year and to charge back any amounts paid on claims not reasonably substantiated or fraudulent claims."*
***Rate*** *(Minn. Stat. § 80E.041, subd. 4(a); sample subd. 2(a); exclu…): "The effective nonwarranty labor rate is determined by dividing the total customer labor charges for qualifying nonwarranty repairs in the repair orders submitted under subdivision 2 by the total number of labor hours that generated those sales."*
***Factory time*** *(subd. 4(a)): "Compensation for warranty labor must equal the dealer's effective nonwarranty labor rate multiplied by the time guide used by the dealer for nonwarranty customer-paid service repair orders."*

## Notes

The subd. 4 method applies only 'at the election of the dealer'. Otherwise labor pay must only be 'reasonable'. Since 10/1/2023, labor hours come from the dealer's own customer-pay time guide, not the manufacturer's allowance. Where no guide exists, actual time is paid, but not less than the time charged to retail customers. All diagnostic time counts, including time spent with manufacturer technical assistance. The statute sets no effective date for an approved rate. Cost recovery is limited: 60 days' notice with substantiation, and it is suspended while a dispute is pending (subd. 6). 'Manufacturer' includes distributors and engine manufacturers (subd. 10).

Source: official · https://www.revisor.mn.gov/statutes/cite/80E.041 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.